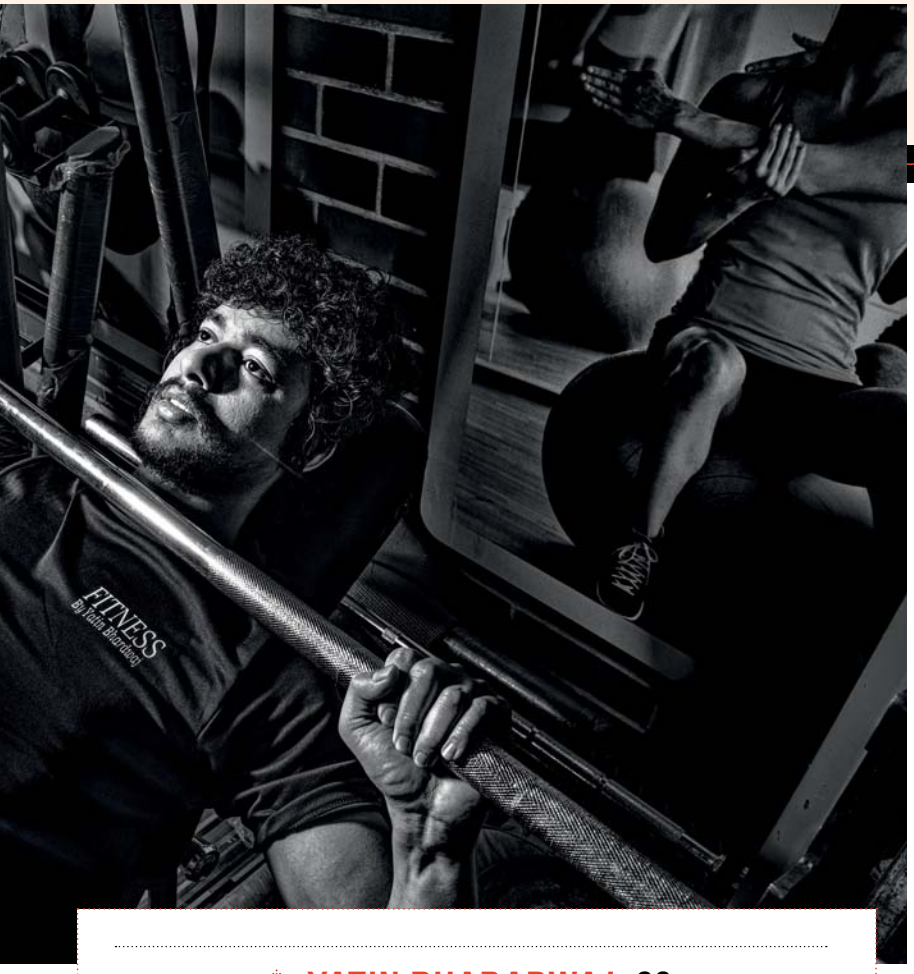


YATIN BHARADWAJ, 26

DOORS CLOSED: In January 2020, Bharadwaj put his savings into opening a fitness studio. Two months later, with lockdowns across the country, his income dropped to zero. In the two years since, it has pulled back to about Rs 15,000 a month. He supports a family of four, including his parents and his sister.

"I STOPPED DRINKING PROTEIN SHAKES THAT COST Rs 5,000 A MONTH. I HAVEN'T BOUGHT MYSELF ANYTHING IN TWO YEARS"

(small and medium enterprises). It is not just the poor. To us, the damage to households and SMEs is the biggest threat to India's growth in the future."

Sakshi Chanana, 36, a Delhi-based communications professional with a 10-year career, exemplifies this balance-sheet damage. When the pandemic began, she lost her job at e-tailer Koovs. She almost landed another job, but the offer was withdrawn as the pandemic worsened. "I don't know where my career is going," she says. For the first six months after losing her job, her savings and fixed deposit allowed her to keep up her lifestyle. She moved back into her parents' home in Kailash Colony when her landlord decided to increase her rent. She says the only investment she retains is her PF account. "I have lost a chunk of my savings, I have to build back my fixed deposit, my career has gone off-track and I am concerned about my mental health," she says.

POLICY PRESCRIPTIONS

To support the middle class, experts like Aziz and Ghatak recommend direct income support for those most precariously placed. Others—and the government—believe in more infrastructure spending in order to have a large spillover effect on the economy. Experts say tax breaks, tax relief or policy assistance of that sort would also help, freeing up more cash for consumers. Some propose an 'urban MGNREGA' for direct income support. However, the Centre's budget has taken a long-term view on the economy, and in the process, brushed aside the imminent and immediate pain of the millions who make up the middle class of India—who fuel demand, drive consumption and pay taxes. As Sanjivv Shiv Kapoor, CEO at SP Kapoor & Company, a chartered accountancy that advises individuals and MSMEs, puts it: "I don't see anything [in the Budget] for the middle class. There is no benefit or change in the tax rates. In fact, the government has said that gifts of over Rs 50,000 must now see a one per cent TDS deduction."

When the Opposition expectedly questioned the government about the budget having nothing for the middle class, finance minister Sitharaman retorted: "Don't 'farmers', 'MSMEs', 'affordable home buyers' have a middle-class component? We have introduced relief measures for them. What does middle class mean? Schemes have been introduced for middle-class farmers. Affordable homes will benefit the middle class. People investing in the stock market will benefit, they are middle class too." Adding to Sitharaman's argument, Tuhin Kanta Pandey, secretary of the Department of Investment and Public Asset Management, tells INDIA TODAY: "Rates [shouldn't always] go down. Policy stability is very important—we should not get into rate revision too often. Direct income support could have been highly inflationary. There is an emergency line of credit for MSMEs, and for those in travel and tourism. Further relaxations in the economy will generate economic activity, and investment has a multiplier effect." However, many believe the finance minister will have to do more to convince the middle class that it could soon be on the road to prosperity again. ■

— with M.G. Arun and Romita Datta